

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainant v. COSCO Shipping Lines Co., LTD, Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
OPENING BRIEF
(Public Version)**

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I. Introduction

This case centers on Respondent COSCO Shipping Lines Co., LTD's ("Respondent") failure to adhere to its obligations under the Shipping Act of 1984 during a time of unprecedented global supply chain disruption. At the height of the COVID-19 pandemic, systemic barriers such as severe port congestion, chassis shortages, and rail yard delays made container retrieval impossible for shippers like Impact Products, LLC ("Impact Products") and Safety Zone, LLC ("Safety Zone"), as well as their logistics intermediary, Laufer Group International ("Laufer"), a Non-Vessel Operating Common Carrier ("NVOCC"). Despite these extraordinary circumstances, Respondent continued to impose exorbitant demurrage, detention, per diem, and yard storage charges. In doing so, Respondent disregarded the Federal Maritime Commission's ("FMC" or "Commission") guidance that such charges should incentivize cargo movement and not penalize shippers for delays beyond their control, thereby violating the FMC's Interpretive Rule on Demurrage and Detention under the Shipping Act, 46 CFR Part 545.5, and 46 U.S.C. § 41102(c).

In addition to these unreasonable practices, Respondent compounded the harm by refusing to engage in meaningful negotiations with Impact Products and Safety Zone and their logistics intermediary, Laufer, regarding these charges. Respondent's refusal to address legitimate transportation-related concerns, as required under 46 U.S.C. § 41104(a)(10), further underscores its failure to meet the fairness and reasonableness standards mandated by the Shipping Act. These practices resulted in \$1,656,492.00 in demurrage, detention, per diem, and yard storage charges, of which Complainant now seeks \$637,195.21 (the "Charges") following a recent ruling by the Presiding Officer. The Charges imposed severe financial and operational burdens on Impact Products and Safety Zone, contributing to their bankruptcy.

Complainant TZ SSE Buyer, LLC ("TZ SSE Buyer" or "Complainant") now brings this action as the successor-in-interest to Impact Products and Safety Zone, seeking reparations under

the Shipping Act for Respondent's violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10). As demonstrated below, Respondent's practices were not only unjust and unreasonable but also directly caused the harm suffered by Complainant. The FMC's intervention is necessary to ensure accountability and prevent such conduct in the future.

II. Proposed Findings of Fact.

TZ SSE Buyer incorporates and relies upon its Proposed Findings of Fact ("CPFF") submitted contemporaneously herewith. These findings, derived from extensive discovery, establish the factual foundation for each element of TZ SSE Buyer's claims and are referenced throughout this brief.

For context and clarity, during 2021 and 2022 (the "Relevant Period"), Impact Products and Safety Zone retained Laufer to manage the international transportation and delivery of goods they had purchased. (CPFF ¶¶ 14–15.) Laufer coordinated logistics, secured container space with Respondent, and arranged transport aboard Respondent's vessels. (*Id.* ¶¶ 15–17.) Laufer was identified as the consignee and notify party on the relevant bills of lading. (*Id.*) During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 1,577 containers via Respondent's ocean vessels (the "Relevant Containers"). (*Id.* ¶ 18.) Once the containers arrived at U.S. ports, Laufer and Impact Products/Safety Zone coordinated with drayage companies to handle inland delivery and return of empty containers. (*Id.* ¶¶ 19–20.)

Laufer also managed invoicing. (*Id.* ¶ 21.) During the Relevant Period, Laufer received invoices from Respondent for demurrage, detention, per diem, and yard storage charges related to the Relevant Containers. (*Id.* ¶¶ 21–22.) These charges totaled \$1,656,492.00. (*Id.* ¶¶ 21–24.) Following a ruling by the Presiding Officer excluding shipments discharged at Canadian ports, Complainant amended its damages calculation to \$637,195.21 across 228 shipments (collectively,

the “Charges”), as reflected in Complainant’s amended damages spreadsheet (the “Amended Damages Spreadsheet”). (*Id.* ¶¶ 26–28.)

Although Laufer initially invoiced and collected the Charges, it acted solely as a pass-through for Respondent’s assessments. (*Id.* ¶ 29.) Impact Products and Safety Zone paid the full \$673,590.21, which Laufer remitted to Respondent. (*Id.* ¶ 30.) Laufer later assigned the claims arising from these Charges to Impact Products and Safety Zone. (*Id.* ¶ 30.) Complainant TZ SSE Buyer subsequently acquired these claims through a Chapter 11 bankruptcy sale. (*Id.* ¶¶ 12–13.)

III. Legal Standard.

A. Jurisdiction.

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a); *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Dkt. No. 21-11, 2023 WL 3969857, at *20 (ALJ June 7, 2023). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See OJ Commerce*, 2023 WL 3969857 at *20; *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

Here, the Federal Maritime Commission (“FMC” or “Commission”) has jurisdiction because Complainant TZ SSE Buyer filed its Second Amended Verified Complaint (“Complaint”) under 46 U.S.C. § 41301, alleging violations of 46 U.S.C. §§ 41102(c) and 41104(a)(10). (*See* CPFF ¶¶ 1–13.) These allegations fall squarely within the FMC’s statutory mandate to adjudicate complaints involving unreasonable practices and refusals to deal by common carriers, as defined under the Shipping Act.

Furthermore, the Shipping Act defines and regulates various entities involved in the international shipment of goods by water, including common carriers and vessel operating ocean common carriers (46 U.S.C. § 40102(7), (18)), which are subject to the provisions of 46 U.S.C. §§ 41102(c) and 41104(a)(10)—both of which are central to this proceeding. *See OJ Commerce*, 2023 WL 3969857 at 21. Here, Respondent and its corporate representative confirmed that Respondent is an ocean carrier regulated by the FMC. (*See* CPFF ¶¶ 32–39.) This confirmation further establishes that the FMC has jurisdiction over Respondent as a common carrier under the Shipping Act. Additionally, the relevant invoices, Notices of Arrival, and non-negotiable seaway bills produced during discovery further support that Respondent qualifies as a common carrier. (*Id.* ¶ 28.) These documents show that Respondent held itself out to the public to provide transportation by water of cargo between the United States and foreign countries for compensation, assumed responsibility for the transportation from the port or point of receipt to the port or point of destination, and used vessels operating on the high seas or the Great Lakes between a U.S. port and a foreign port. (*Id.*)

Finally, the Shipping Act provides for reparations “for actual injury caused by a violation.” 46 U.S.C. § 41305(b); *See OJ Commerce*, 2023 WL 3969857 at *21. The Commission has interpreted section 41301(a) as requiring complainants to establish that they have “paid the freight or succeeded to the claim in a valid fashion such as by assignment.” *See, e.g., In Re: Vehicle Carrier Services*, Docket Nos. 16-01, 16-07, and 16-11, 2019 WL 5558120, at *6 (FMC 2019); *Rohm & Haas Co. v. Italian Line*, 21 S.R.R. 212, 215–216 (FMC 1981) (allowing a parent company to seek reparations, as long as it obtained an assignment from its foreign subsidiary); *Cal. Cartage v. Pac. Mar. Ass’n*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 F.M.C. 375, 378 n.9 (ALJ 1976); *Carton-Print v. Austasia Container Express*, 17 S.R.R. 571, 581 (ALJ

1977); *3M v. Hapag Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *Adenariwo v. BDP Int'l*, 2012 FMC Lexis 42 at *12-14 (SO 2012).

As detailed in the CPFF, the former complainants, Impact Products and Safety Zone, obtained a valid assignment of the claims alleged against Respondent from Laufer. (See CPFF ¶¶ 31.) Laufer invoiced the former complainants for the Charges assessed by Respondent, which the former complainants subsequently paid to Laufer. (See *id.* ¶¶ 29–30.) Laufer, in turn, remitted these payments to Respondent. (*Id.*) The validity of this assignment has been affirmed by the Administrative Law Judge (“ALJ”) in *TZ SSE Buyer, LLC v. OOCL, et al.*, Docket No. 24-08, Doc. 14 (ALJ, June 3, 2024), and *TZ SSE Buyer, LLC v. COSCO Shipping Lines, Co., Ltd.*, Docket No. 24-09, Doc. 13 (ALJ, May 24, 2024).

In addition, the current Complainant, TZ SSE Buyer, LLC, acquired all of Impact Products’ and Safety Zone’s assets, including all rights and causes of action, through a Chapter 11 bankruptcy sale. (See CPFF ¶¶ 12–13.) This purchase included any claims the former complainants held against Respondent, which necessarily encompassed the assignment of claims from Laufer. (See *id.*)

B. Burden of Proof.

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *OJ Commerce*, 2023 WL 3969857 at *20; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under this standard, a complainant must show that their allegations are more probable than not. *OJ Commerce*, 2023 WL 3969857 at *20; *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). The Commission has further found that it is appropriate to draw inferences from certain facts when direct evidence is

unavailable, and circumstantial evidence alone may even be sufficient. *See OJ Commerce*, 2023 WL 3969857 at *20; *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

Here, Complainant has met its burden by presenting detailed evidence that Respondent imposed more than \$637,195.21 in accessorial charges—including demurrage, detention, per diem, and yard storage—despite knowing that systemic port congestion and chassis shortages made it infeasible to return containers within the allotted free time. (*See* CPFF ¶¶ 26–31.) Complainant’s damages summary, contemporaneous communications, expert analysis, and deposition testimony collectively demonstrate that these charges were assessed without regard to reasonable commercial practices and in violation of 46 U.S.C. §§ 41102(c) and 41104(a)(10). (*See Id.*)

Moreover, Respondent failed to produce key categories of responsive discovery, including all shipping records and invoice documentation concerning the Charges, despite repeated requests and a direct order from the former Presiding Officer compelling it to do so. (Doc. No. 51.)¹ As discussed *infra* in Section IV, this lack of transparency further supports the credibility of Complainant’s evidence and warrants adverse inferences against Respondent.

IV. Argument.

A. The Presiding Officer Should Draw Adverse Factual Inferences Against Respondent.

The imposition of a negative inference is appropriate where a party intentionally ignores its discovery obligations, and its purpose is to prevent a party from benefitting from the failure to engage in discovery. *See Qi Qing Weng v. Hana Japanese Steakhouse, Inc.*, 2020 WL 10231344,

¹ ‘Doc. No.’ refers to documents filed in the docket for this proceeding under FMC Docket No. 24-09.

at *3 (E.D. Tenn. 2020); *Peloton Interactive, Inc. v. Flexport International LLC*, 2025 WL 1255547, at *2, FMC Docket No. 24-19 (ALJ Order, April 22, 2025) (warning that failure to comply with an order on a motion to compel may result in discovery sanctions, including adverse inferences, default judgment, or dismissal of the complaint). *See* 46 CFR § 502.150(b). Courts are entrusted with broad discretion in imposing discovery sanctions under the federal rules, but the imposition of sanctions must be guided by the concept of proportionality between the offense and the sanction. *See McDowell v. Government of District of Columbia*, 233 F.R.D. 192, 200-201 (D.D.C. 2006) (evaluating the imposition of discovery sanctions under Fed. R. Civ. P. 37(b)); *Atlantic Richfield Co. v. U.S. Dept. of Energy*, 769 F.2d 771, 794 (DC Cir. 1984) (agency can impose sanctions, including drawing adverse inferences against persons not complying with discovery orders).

Adverse inferences are particularly appropriate when a party fails to produce documents, or when documents have been destroyed. *See Community Hospitals of Central California v. N.L.R.B.*, 335 F.3d 1079, 1086-87 (D.C. Cir. 2003) (upholding adverse inference imposed by ALJ for documents not produced); *Worldwide Relocations, Inc., et al.*, 2012 WL 11914713, at *5, FMC Docket No. 06-01 (FMC Decision, March 15, 2012) (reversing ALJ decision and imposing sanctions for discovery noncompliance, including an adverse inference that withheld documents would have been unfavorable to the sanctioned parties).

Throughout discovery, Respondent failed to meet its obligations by withholding documents that Complainant specifically requested and that the former Presiding Officer later ordered it to produce. (Doc. No. 51.) Complainant was entitled to this information under 46 C.F.R. § 502.141, yet Respondent refused to produce critical materials, including shipping records and invoices directly related to the Charges. Despite repeated efforts to obtain this evidence,

Respondent's continued noncompliance impaired Complainant's ability to fully develop its case and supports the imposition of adverse factual inferences under 46 C.F.R. § 502.150(b).

Respondent's discovery misconduct began with its failure to substantively respond to Complainant's initial interrogatories and requests for production. (CPFF ¶¶ 50–51.) Complainant specifically requested critical information, including:

- All documents, including invoices, bills of lading, service contracts, and related shipping records concerning the Relevant Containers and Charges. (*Id.*) These requests were made through Interrogatory No. 7–8, 13, 17, and Requests for Production Nos. 3, 12.
- All documents connected with or relating to your common practices, policies and regulations in assessing demurrage, detention, per diem and yard storage charges, such as the Charges issued to Complainants during the Relevant Period as referenced in the Complaint. This request was made through Request for Production No. 11.
- For each demurrage, detention, per diem, or other accessorial Charge that Respondent issued as referenced in paragraphs 13–15 of the Complaint and the Original Damages Spreadsheet, explain in detail whether each invoice included specific instructions on how to dispute the Charges. This request was made through Supplemental Interrogatory 8.

(CPFF ¶ 51.)

Rather than complying, Respondent asserted boilerplate objections and produced only a partial, and largely irrelevant, set of documents. (*Id.* ¶¶ 50–51.) These included communications unrelated to the containers or Charges at issue, as well as nonnegotiable seaway bills instead of master or house bills of lading, which did not include the terms and conditions necessary to understand Respondent's billing practices. (*Id.* ¶¶ 28, 50–51.)

On January 10, 2025, Complainant served a formal deficiency letter identifying Respondent's failure to provide complete discovery responses. (*Id.* ¶ 50.) That same day, Complainant served supplemental discovery on Respondent. (*Id.*) When Respondent again failed to produce the requested materials, Complainant filed a motion to compel. (*Id.* ¶ 51; Doc. No. 46.)

The Presiding Officer granted that motion in part, issuing an order requiring Respondent to produce certain outstanding documents and responses (the “Order”). (CPFF ¶ 51; Doc. No. 51.)

Specifically, in response to Complainant’s request for all documents including invoices, bills of lading, and related shipping records concerning the relevant containers and Charges (RFP No. 3), the Presiding Officer ordered Respondent to “search its records and produce any documents in its possession, custody, or control of the type specified in Complainant’s Request for Production 3 that are related to the shipments in Complainant’s damages spreadsheet.” (CPFF ¶ 51; Doc. No. 51, pp. 3–5)

After Complainant’s motion to compel was filed, Respondent produced two Excel spreadsheets indicating whether it had records of the demurrage invoices identified in Complainant’s Amended Damages Spreadsheet and whether any of the Charges listed therein had been waived. (CPFF ¶¶ 52–57.) However, it failed to produce the underlying shipping records, including the actual invoices and documentation explaining the basis for those waivers. (*Id.*) Although Respondent’s own spreadsheets confirmed that it had issued demurrage invoices for specific containers and had partially waived certain Charges, it did not produce the corresponding invoice records or waiver-related records for multiple containers. (*Id.*)

- **No invoices were produced for the following containers**

- CCLU5189413; OOCU4895332; TCNU4624823; CSNU8445918;
CBHU7040603; TCNU3854734; DFSU2974775; CCLU7255915;
CSNU7738125; CBHU7002075; FSCU8027429; OOLU7704776;
TGHU6930932; UETU5691967; CSNU7612667; OOCU7675753;
TCNU4026668; TLLU5733877; CBHU8798835; TRLU7625276;
BMOU5513517; FCIU9669147; TRHU5515395; CCLU4780205;
FFAU3448075; CSNU1318980; CSNU6235240; UETU5366777;
CSNU6356961; FCIU9884073; SEGU5366408; CBHU9441919;
TEMU7879134; CCLU4979835; CBHU6277740; OOLU9389539;
TTNU4875462; CSNU6304660; CBHU9596490; SEGU6878883;
TLLU4155780; TGHU6568309; TGBU8885492; CCLU5299724;
FFAU2781667; CAIU8833704; CSNU6248210; CAAU6151446;

TRHU8745350;	CSNU7367620;	GCXU5479007;	TGCU5060613;
CSNU6206160;	OOLU4531661;	CCLU4905489;	CSNU7762883;
FSCU8621528;	CSLU6187611;	TLLU5730590;	FSCU5006952;
OOCU7986354;	CSNU7050507;	CSLU6056484;	OOCU8333694;
TCKU6138127;	CSNU7785488;	CAAU6113744;	BSIU9552230;
TGBU8561620;	CCLU6935820;	FSCU8983975;	CBHU6439034;
DFSU6090432;	DFSU6087948;	CBHU8653277;	CCLU5218872;
CBHU9075194;	OOLU4449785;	CCLU4995498;	OOCU7045543;
TCNU5145949;	CSNU6608955;	CSNU1179122;	AMLU4054410;
TGBU4097661;	MAGU5602324		

- **No supporting records explaining the partial waivers**

- CSNU778548 and CSNU660895: invoice produced, but no documentation explaining the partial waiver was produced.
- BSIU955223 and BMOU449481: no records produced.

(*Id.* ¶¶ 53–56.)

Respondent’s failure to fully comply with the Presiding Officer’s Order strongly supports an inference that the withheld records would have undermined Respondent’s position. Mr. Tom Takase, Vice President of COSCO SHIPPING Lines (North America) Inc., confirmed that during 2020 and 2021, Respondent manually issued demurrage invoices to customers or drayage companies. (*Id.* ¶ 54.) He explained: “... it was a manual process. So the customers, if they’re unable to pick up the container within the free time, ... they would have to submit a request to our office here in Houston, give us the planned pickup date... We would calculate the demurrage cost based on their planned pickup date and issue them the invoice to pay against.” (*Id.*)

With respect to waivers, Mr. Takase further testified that Respondent would “review cases for potential mitigation based on scenarios ... [where] the customer or the truck would submit a dispute.” (*Id.* ¶ 57.) These statements confirm that responsive records regarding invoice issuance and waiver requests existed and should have been produced in response to Complainant’s

discovery requests and the former Presiding Officer's Order. Respondent's failure to do so justifies the imposition of adverse inferences.

The Order also required Respondent to produce its demurrage, detention, and per diem policies that were in effect during the Relevant Period, which Complainant defined in its discovery requests as 2021 to 2022—the timeframe during which the Charges were issued. (*Id.* ¶ 51; Doc. No. 51, pp. 6–7.) The Order expressly stated that “COSCO’s detention and demurrage policies are relevant to this case,” and that “COSCO must produce any responsive documents in its possession. COSCO’s referral to its website and online tariff is not a sufficient response.” (Doc. No. 51, pp. 6–7.) In response, Respondent produced policy documents dated May 14, 2024, which also became effective on that date. (CPFF ¶¶ 58.) These materials do not reflect the policies that governed during the Relevant Period and therefore do not satisfy either Complainant’s discovery request or the Presiding Officer’s directive.

Respondent should not benefit from withholding key documents solely within its control while forcing Complainant to rely on piecemeal disclosures and unsupported summaries. Accordingly, the Presiding Officer should draw adverse factual inferences against Respondent, including that:

- The withheld shipping records—including invoice documentation and waiver-related materials for the above-referenced containers—would have corroborated Complainant’s position that returning containers during the free time was infeasible due to widespread port congestion and chassis shortages;
- The missing documentation would have revealed that Respondent provided no clear process for disputing Charges, including the lack of contact information, deadlines, or evidentiary requirements to initiate a dispute;
- Respondent failed to maintain or follow consistent procedures for reviewing and resolving disputes related to the Charges at issue.

- The absence of any written demurrage, detention, or per diem policies from the Relevant Period supports the inference that Respondent had no clear or consistent criteria for assessing Charges or determining when to grant reductions or waivers.

In particular, there appears to have been no guidance regarding what factors should be considered, such as when to extend free time, what evidence would be required to justify a waiver or reduction, who the appropriate decision-makers or contacts were, or whether the unprecedented operational disruptions during 2021–2022 were taken into account.

Such inferences are both appropriate and necessary to ensure that Respondent’s discovery misconduct does not prejudice Complainant or obstruct the fair adjudication of this proceeding..

B. Respondent’s practices were unreasonable under 46 U.S.C. § 41102(c).

Under 46 U.S.C. § 41102(c), common carriers are required to establish, observe, and enforce just and reasonable regulations and practices regarding the handling, storage, and delivery of property. The Commission has interpreted Section 41102(c) as requiring the following elements:

- (i) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (ii) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (iii) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (iv) The practice or regulation is unjust or unreasonable; and
- (v) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS East Coast*, FMC Dkt. No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023). As shown below, Respondent easily meets each of the required elements.

i. FMC has jurisdiction over Respondent.

As discussed in Section III.A, *supra*, the Commission has jurisdiction over Respondent as a “common carrier” and a vessel-operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18), a status that Respondent admits. (See CPFF, ¶¶ 28, 32–39.) Respondent

conducts its U.S. business operations through COSCO SHIPPING Logistics (North America) Inc. and holds itself out to the general public to provide transportation by water of cargo between the United States and foreign countries for compensation. (*See id.*) It utilizes vessels operating on the high seas or the Great Lakes between a U.S. port and a foreign port for all or part of the transportation. (*See id.*) For the cargo at issue, Respondent provided both ocean and inland transportation services. (*See id.* ¶ 28.)

The FMC also has jurisdiction over TZ SSE Buyer's claims against Respondent. The Shipping Act permits any "person" to file a sworn complaint with the Commission alleging a violation of the Act. *See* 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over complaints alleging that a respondent has committed acts prohibited by the Shipping Act—allegations that TZ SSE Buyer has raised in this proceeding. (*See id.* ¶¶ 1–8.) *See Anchor Shipping Co. v. Alianca Navegacao E Logistica Ltda.*, FMC Dkt. No. 02-04, 2006 WL 2007808, at *8–9 (FMC May 10, 2006); *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC Dkt. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000).

ii. Respondent's acts or omissions occurred on a normal, customary, and continuous basis.

For there to be a violation of Section 41102(c), the unreasonable practice or regulation "must be normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." 46 C.F.R. 545.4(b); *see also Final Rule, Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478 (Dec. 17, 2018) (discussing the Interpretive Rule provision promulgated at 46 C.F.R. 545.4(b)); *see e.g., Stockton Elevators*, 3 S.R.R. 605, 618 (FMC 1964); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935).

In this proceeding, Respondent’s practices concerning demurrage, detention, per diem, and other accessorial charges clearly meet this standard. During his deposition, Mr. Tom Takase (“Mr. Takase”), Respondent’s corporate representative and Vice President of COSCO SHIPPING Lines (North America) Inc., testified that Respondent deals with these Charges daily as a regular part of its business operations. (See CPFF, ¶¶ 32–39.) He further confirmed that Respondent is consistently engaged in issues related to demurrage when handling imports. (See *id.*) Moreover, the harm at issue in this case is not the result of a single, isolated event, but stems from a widespread pattern of conduct spanning a two-year period. Respondent imposed a total of 292 separate Charges, including 128 demurrage charges, 58 detention and per diem charges, and 88 yard storage charges. (See CPFF, ¶ 27.) Lastly, Mr. Takase testified that per diem and detention charges are interchangeable terms, meaning the same thing (Ex. 2, CX_001360.)

Mr. Takase’s testimony, combined with the scope and duration of the alleged harm, demonstrates that Respondent’s acts or omissions regarding demurrage, detention, per diem and related charges were not incidental or isolated but instead systematic and customary, integral to its ongoing business practices.

iii. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property.

The Commission has expressly stated that “[o]cean carrier demurrage and detention practices are subject to Section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland.” See *Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29650. Here, the disputed practices, policies, and procedures—specifically, Respondent’s demurrage, detention per diem and yard storage practices and its assessment of the Charges—are directly connected to the movement of cargo in ocean shipping. The Charges at issue stem directly from Respondent’s handling, transportation, and

storage of cargo belonging to Impact Products and Safety Zone. (CPFF ¶¶ 28.) These charges were imposed as part of Respondent's provision of ocean transportation services and directly relate to its obligations in managing Impact Products' and Safety Zone cargo from receipt to delivery. (See *id.*) Therefore, Respondent's practices fall squarely within the scope of Section 41102(c) and are subject to the Commission's jurisdiction and reasonableness analysis.

iv. Respondent's practices and regulations are unjust or unreasonable.

The Federal Maritime Commission (FMC), under 46 C.F.R. § 545.5 and 46 U.S.C. § 41102(c), is authorized to evaluate the reasonableness of demurrage and detention charges assessed by ocean common carriers. These charges include fees, including but not limited to per diem charges, related to the use of marine terminal space (e.g., land) or shipping containers. 46 C.F.R. § 545.5.

When determining reasonableness of a carrier practice the analysis does not turn on the lawfulness of the practice but instead on whether the practice is "tailored to meet its intended purpose," *Distrib. Servs. Ltd. v. Trans-Pac. Freight Conference of Japan & its Member Lines*, FMC Dkt. No. 86-12, 1988 WL 340659, at *7 (FMC Jan. 6, 1988), and "fit and appropriate to the end in view." *Investigation of Free Time Practices-Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). Even if a practice has a valid purpose, if it goes beyond what is necessary to achieve that purpose, it may still be unreasonable. *Distrib. Servs.*, 1988 WL 340659, at *7.

The FMC's Interpretive Rule on Demurrage and Detention underscores that such charges must serve as financial incentives to promote cargo movement and ensure freight fluidity. *Final Rule, Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29638, 29651–52 (May 18, 2020); see also *TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, FMC Dkt. No. 1966(I), Doc. No. 1, 1, 22–25 (ALJ Feb. 29, 2021) (citing to the Interpretive Rule for the proposition that the shipping community,

including importer, exporter, intermediaries, and truckers, “should not be penalized by demurrage and detention practices when circumstances are such that they cannot retrieve equipment from or return equipment to marine terminals” ... because under those circumstances the charges cannot serve their incentive function.)

Charges imposed under circumstances that make cargo retrieval impossible, such as systemic issues beyond the control of shippers or truckers, may be deemed unreasonable. *See* 85 Fed. Reg. at 29651–52. The Commission has noted that its reasonableness analysis may include assessing whether truckers were unable to retrieve containers due to congestion, appointment unavailability, or chassis shortages. *See id.* at 29654–55. Specifically, the FMC has recognized that chassis availability is a critical factor in container retrieval and that the assumption that a shipper or trucker can promptly obtain equipment may no longer be valid. *See id.* The Commission has further stated that the lack of chassis availability is an undeniable factor impacting a trucker’s or shipper’s ability to remove containers from ports, and its absence could render demurrage or detention charges unreasonable. *See id.*

In addition to evaluating circumstances affecting cargo retrieval, the FMC examines the policies and procedures of ocean carriers, including their dispute resolution processes and billing practices. *See id.* at 29659–65. Reasonable practices include:

- **Accessible Policies:** Policies should be centralized and user-friendly, rather than scattered or opaque within tariffs.
- **Clear Dispute Resolution Processes:** Effective policies should outline points of contact, timeframes for raising disputes, and the types of information or evidence required to contest charges.

- **Comprehensive Billing:** Bills must contain sufficient information to allow cargo interests to meaningfully contest the charges.

See id.

The efficacy of these practices directly influences the reasonableness of demurrage and detention charges. *See id.* Policies that lack transparency, guidance, or essential information may fall on the unreasonable end of the spectrum. *See id.*

In this proceeding, Respondent disregarded every concern the Commission highlighted when assessing demurrage and detention charges. Respondent failed to address the systemic barriers that made cargo retrieval impossible and neglected the critical factors the FMC uses to determine the reasonableness of such charges. As detailed in the subsections below, Respondent's practices violated the fundamental principles of fairness and reasonableness under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5. In doing so, Respondent ignored the FMC's clear guidance on incentivizing cargo movement, ensuring access to equipment, maintaining transparency in billing, and providing effective dispute resolution processes.

1. *Respondent's charges failed to incentivize cargo movement.*

During the Relevant Period, Respondent knowingly imposed demurrage, detention, per diem, and other accessorial charges despite being fully aware of systemic barriers that made compliance impossible. (See CPFF ¶¶ 48–49.) Once containers carrying Impact Products' and Safety Zone's goods arrived at U.S. ports and were unloaded from Respondent's vessels into Respondent's terminals, container yards, or rail yards, Laufer and Impact Products/Safety Zone contracted with drayage companies to handle the pickup, delivery, and return of the containers. (*Id.* ¶¶ 19–30.) Laufer and these drayage providers exchanged contemporaneous communications documenting the operational obstacles they faced, including a critical shortage of available chassis and widespread terminal congestion. (*See id.* ¶ 47.) In multiple emails related to the Relevant

Containers and Charges, they explicitly stated that containers could not be retrieved until terminal access became available and emphasized that every effort was being made to collect the containers as soon as conditions allowed. (*See id.*)

Mr. Takase confirmed Respondent's awareness of these issues during his deposition, testifying that port congestion and equipment shortages were widely recognized and had a significant impact on maritime logistics, including Respondent's own operations. (*Id.* ¶¶ 48–49.) Despite being fully aware of these extraordinary circumstances, Respondent continued to impose the Charges without making any adjustments to its practices. (*See id.* ¶¶ 27–28.)

Notably, Respondent's demurrage and detention fees increased during the Relevant Period. (*Id.* ¶¶ 76–81.) Expert reports and testimony from both Complainant's and Respondent's experts further confirmed that Respondent's revenue significantly increased during this time, with demurrage and detention charges identified as a direct component of Respondent's revenue. (*See id.*) By imposing these charges, Respondent blatantly disregarded the FMC's guidance that such fees should incentivize cargo movement. Instead of serving their intended purpose, Respondent's charges unfairly penalized Laufer, Impact Products, and Safety Zone for delays entirely beyond their control.

This conduct highlights Respondent's indifference to the systemic challenges faced by its customers and its failure to adopt reasonable practices under the conditions of the Relevant Period. Rather than addressing these obstacles in good faith, Respondent exploited them to generate profit, demonstrating a perverse incentive to prioritize revenue over the principles of fairness and the fluidity of cargo movement.

2. *Respondent Lacked Demurrage and Detention Policies During the Relevant Period—Undermining the Fairness of Its Charges.*

During the Relevant Period, Respondent had no demurrage, detention, or per diem policies in place to guide how such charges were assessed, applied, or disputed. This total absence of contemporaneous standards violates the reasonableness requirements of the Shipping Act and FMC regulations, which emphasize that carriers must maintain clear, accessible, and fair policies to govern these charges. See 46 C.F.R. § 545.5; 85 Fed. Reg. 29659–65 (May 18, 2020). The FMC has emphasized that reasonable practices must include clear and accessible dispute resolution policies, with defined points of contact, timeframes for raising disputes, and specific requirements for the evidence or information needed to resolve them. See 85 Fed. Reg. at 29659–65.

Complainant repeatedly requested production of Respondent’s policies covering 2021–2022. (CPFF ¶¶ 50–51.) The former Presiding Officer granted Complainant’s Motion to Compel requiring Respondent to produce them. Doc. No. 51., p. 8. Instead, Respondent produced documents reflecting policies that were not adopted until 2024—long after the Charges at issue had been imposed. (CPFF ¶¶ 58.) This confirms that no formal demurrage, detention, or per diem procedures existed during the height of pandemic-era congestion, when such guidance was most essential.

Without written policies during the Relevant Period, Respondent had no clear criteria for when to assess or waive/reduce these charges, no documented process for evaluating the impact of severe supply chain disruptions, and no procedures for informing customers of their rights or obligations. In short, Respondent exercised unfettered discretion over hundreds of thousands of dollars in accessorial fees—without any meaningful accountability or transparency.

This failure fundamentally undermines the reasonableness of Respondent’s practices under § 41102(c). A common carrier cannot fairly impose charges that penalize customer actions, such

as delays in retrieving and returning containers, while failing to maintain any standards to govern its own conduct in assessing those charges. By failing to establish transparent and effective policies, Respondent significantly exacerbated the difficulties faced by Laufer, Impact Products, and Safety Zone in contesting charges imposed under circumstances beyond their control. This lack of reasonable practices rendered Respondent's processes fundamentally unfair and in direct violation of the principles outlined by the FMC.

3. *Respondent's billing practices were inadequate.*

Respondent's billing practices failed to meet the FMC's standards for comprehensive and transparent billing, leaving shippers without the tools necessary to address potentially erroneous or unreasonable charges. *See* 46 C.F.R. § 545.5; 85 Fed. Reg. at 29659–65. For instance, some of the demurrage invoices Respondent produced during discovery exemplify this deficiency. These invoices provided no explanation of the basis for the Charges and omitted critical dispute resolution information, such as instructions on how to challenge the Charges, points of contact, or the documentation required for a dispute. (CPFF, ¶¶ 27–28, 70, CX_000032, 000034, 000036.) The invoices also failed to specify any timelines for disputing the Charges, leaving Impact Products/Safety Zone and Laufer with no clear process or timeframe for seeking resolution. (*Id.*) Respondent's supplemental discovery responses confirm that, throughout most of the Relevant Period, its demurrage invoices routinely omitted any dispute resolution information—further demonstrating that this critical omission was a recurring feature of its billing practices, not an isolated oversight. (*Id.* ¶¶ 59, 71, CX_002334.)

By failing to include this essential information, Respondent's billing practices created significant obstacles for shippers attempting to contest charges, violating the FMC's requirement that invoices contain sufficient detail to allow cargo interests to meaningfully dispute fees. This lack of transparency and accountability placed an undue burden on Laufer, truckers and shippers

like Impact Products and Safety Zone, who were left to navigate Respondent's opaque and incomplete billing practices without clear guidance.

The omission of this critical information not only impeded Laufer, the drayage companies it engaged, and Impact Products' and Safety Zone's ability to resolve disputes but also violated the fundamental principles of fairness and reasonableness mandated by the Shipping Act. Respondent's failure to implement comprehensive and accessible billing practices rendered its demurrage and detention practices unreasonable, further underscoring its disregard for the systemic barriers faced by its customers.

4. *Yard storage charges remain the responsibility of Respondent and do not relieve Respondent of its common carrier obligations.*

Respondent cannot disclaim responsibility for yard storage charges assessed during the transportation of Impact Products' and Safety Zone's cargo, as these charges arose directly from its obligations as a common carrier and are reflected in the transportation terms set forth in the invoices, Notices of Arrival, and non-negotiable seaway bills produced during discovery. (CPFF, ¶¶ 27–28.) Because Impact Products/Safety Zone and Laufer had no contractual relationship with the rail yards or operational control over their practices, Respondent remained solely responsible for ensuring inland container availability.

The record shows that yard storage charges were imposed even when widespread congestion, chassis shortages, and rail yard stacking practices made retrieval infeasible. (CPFF ¶¶ 40–49.) In communications produced during discovery, Respondent acknowledged delays in transporting containers from ports to rail yards. (Ex. 19, CX_002425–32.) These delays left Laufer, Impact Products, and Safety Zone unable to coordinate pick-up until Respondent acted, and often without knowing when or if a container would be accessible. With no control over timing, and

facing well-documented operational barriers, Complainant could not retrieve cargo within the designated free time.

Although Respondent's corporate representative, Mr. Takase, claimed that Respondent does not manage or profit from yard storage charges, these statements do not eliminate its responsibilities. Documents produced during discovery, including invoices, Notices of Arrival, and non-negotiable seaway bills, confirm that Respondent arranged for inland transport and held itself out as responsible for cargo movement from origin to destination. (CPFF ¶¶ 27–28.) That responsibility should include ensuring that containers were made reasonably accessible at rail yards so drayage providers could retrieve them.

Respondent failed to take meaningful steps to mitigate the known disruptions affecting inland availability, such as making reasonable operation adjustments to ensure cargo would be delivered to the railyards in a timely matter. This practice is both unreasonable and inconsistent with the FMC's guidance on fairness in demurrage and detention practices. By failing to ensure that cargo was made available for pick-up, Respondent effectively shifted its common carrier obligations onto Complainant. This conduct demonstrates a disregard for Respondent's responsibilities as a carrier to manage its containers and ensure the fluidity of cargo movement. The imposition of yard storage charges under these circumstances is an unreasonable practice under 46 U.S.C. § 41102(c) and the FMC's Interpretive Rule.

v. Respondent failed to comply with Ocean Shipping Reform Act of 2022 (“OSRA”).

Respondent's violations are more egregious when considered under OSRA, whose changes the Commission described as follows:

OSRA addressed the balance between common carriers and the shipping public in dealing with complaints about demurrage and detention charges. OSRA § 10, 46 U.S.C. § 41310. Specifically, pursuant to OSRA, common carriers “bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant

to [the demurrage and detention Interpretive Rule] or successor regulations.” OSRA § 10, 46 U.S.C. § 41310(b)(2). This provision shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier. Second, OSRA requires common carriers to provide certain information on invoices for demurrage and detention charges to demonstrate that the charges comply with the demurrage and detention [I]nterpretive [R]ule. OSRA § 7, 46 U.S.C. § 41104(a)(15) and (d)(2). Specifically, common carriers must include a statement that the charges are consistent with the Commission's [D&D] rules. 46 U.S.C. § 41104(d)(2)(L). This provision requires common carriers to ensure invoiced demurrage or detention charges are consistent with the Commission's rules, especially the [demurrage and detention Interpretive Rule].

Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. - Possible Violations of 46 U.S.C. § 41102(c), FMC Dkt. No. 21-16, 2022 WL 17830693, at *4-5 (FMC Dec. 15, 2022) (footnotes omitted).

vi. Respondent’s practice or regulation is the proximate cause of the loss.

Respondent’s unreasonable practices and failure to meet its obligations under 46 U.S.C. § 41102(c) directly caused significant financial and operational harm to Impact Products and Safety Zone.² Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for “actual injury caused by a violation of this part.” 46 U.S.C. § 41305(b); *see also*, *Way Interglobal Network, LLC v. Shenzhen Uniflex SCM Ltd.*, FMC Docket No. 22-28, 2023 WL 130654 at *4 (FMC Jan. 4, 2023) (denying motion to dismiss because allegations of unpaid freight, invoiced demurrage, pending demurrage for freight not yet invoiced, internal time, and financial consequences from adverse impacts to supplier relationships damage is plausible so as to establish standing, but not proven).

To meet this burden, “a party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury, and that the violation of law was the proximate cause of that loss

² As explained in Section III.A., *supra*, Complainant TZ SSE Buyer acquired all assets, rights, and causes of action from Impact Products and Safety Zone through a Chapter 11 bankruptcy sale. These assets include the claims brought against Respondent, which Laufer formally assigned to Impact Products and Safety Zone prior to the bankruptcy sale. As a result, TZ SSE Buyer now stands in the position of the original complainants in this proceeding.

or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708 at *80 n.75, (FMC 2001); *see also William R. Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 at *23, (ALJ Sept.24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”). The Commission had held that payment of demurrage and detention charges is sufficient to meet this requirement. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-possible Violations of 46 U.S.C. § 41102(c)*, 2022 WL 1239377, at * 34 (ALJ, April 22, 2022); *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. et.al.*, Docket No. 1987(I), at 14 (ALJ July 17, 2023) (Claimant “demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents’ conduct.”).

Here, during the Relevant Period, Respondent imposed excessive demurrage, detention, per diem, and yard storage charges despite systemic barriers—such as congestion and equipment shortages—that made cargo retrieval impossible. These practices resulted in \$673,590.21 in charges across 228 shipments shipped by Impact Products and Safety Zone through Laufer. (CPFF, ¶¶ 27–28.) By failing to adopt reasonable practices consistent with FMC guidance, Respondent’s imposition of these charges was both excessive and unjust.

Complainant meticulously documented the financial harm caused by these charges in a detailed damages spreadsheet, which was prepared using Laufer’s invoices and provided to Respondent during discovery. (*Id.* ¶¶ 22–30.) This spreadsheet included critical details such as the type of charge, container numbers, master and house bill of lading numbers, and the ocean carrier responsible for each shipment. (*Id.*) Mr. Larry Hallett, former Director of Global Logistics for Supply Source Enterprises, the parent company of Impact Products and Safety Zone, thoroughly

reviewed all invoices provided by Laufer and confirmed the accuracy of the damages listed in the spreadsheet. (*Id.*) His verification ensured that the spreadsheet is a reliable and comprehensive summary of the financial impact caused by Respondent's practices.

In addition to the financial burden, Respondent's practices caused significant operational harm to Impact Products and Safety Zone. Delays stemming from systemic issues, including chassis shortages, congestion, and rail yard stacking practices, disrupted Complainant's supply chains and impaired their ability to meet business obligations. (*Id.* ¶¶ 40–49.) These disruptions, combined with the unreasonable charges imposed by Respondent, exacerbated financial strain and ultimately contributed to Impact Products' and Safety Zone's bankruptcy filings. (*Id.*)

Respondent maintained full control over the assessment of these charges, which underscores its role in the losses suffered by Impact Products and Safety Zone. Laufer, acting as a logistics provider, invoiced Complainant based solely on Respondent's charges. (*Id.* ¶¶ 21–22, 29–31.) Complainant paid Laufer the full \$673,590.21, which Laufer then remitted to Respondent. (*Id.* ¶¶ 27–28.) As a result, Respondent's practices directly caused these financial losses, leaving Impact Products and Safety Zone without the ability to contest systemic delays or the charges imposed.

Respondent's liability is further confirmed by the assignment of claims. On April 4, 2024, Laufer formally assigned all claims related to these charges to Impact Products and Safety Zone, providing them standing to bring this action. (*Id.* ¶ 31.) Additionally, TZ SSE Buyer, LLC, the current Complainant, acquired the assets, rights, and causes of action of Impact Products and Safety Zone through a Chapter 11 bankruptcy sale. (*Id.* ¶¶ 12–13.) Through this acquisition, TZ SSE Buyer assumed standing to pursue these claims, ensuring continuity in addressing the harm caused by Respondent's unreasonable practices.

By imposing charges under circumstances where compliance was impossible and failing to adopt practices aligned with FMC guidance, Respondent directly caused the financial and operational harm suffered by Impact Products and Safety Zone. These losses were a foreseeable and proximate result of Respondent's failure to fulfill its responsibilities as a common carrier, further underscoring the unreasonableness of its practices.

C. Respondent's refusal to deal was unreasonable under 46 U.S.C. 41104 (a)(10).

Under 46 U.S.C. § 41104(a)(10), a common carrier is prohibited from unreasonably refusing to deal or negotiate. To establish a violation of this provision, Complainant must demonstrate three elements: (1) that Respondent is a common carrier; (2) that Respondent refused to deal or negotiate; and (3) that such refusal was unreasonable. *See OJ Commerce*, 2023 WL 3969857, at *22. The Commission has found that a common carrier should "refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors." *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff'd sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003); *OJ Commerce*, 2023 WL 3969857, at *22. As demonstrated below, Respondent satisfies each of these elements.

i. Respondent is a common carrier.

As established in Sections III.A and IV.A(i), *supra*, Respondent is a common carrier and vessel-operating common carrier as defined under 46 U.S.C. § 40102(7) and (18), and is therefore subject to the obligations imposed by the Shipping Act. Notably, Respondent does not contest its status as a common carrier or its regulation by the FMC. (*See CPFF ¶¶ 28, 32–39.*)

ii. Respondent refused to deal or negotiate.

During the Relevant Period, Respondent's conduct amounted to an unreasonable refusal to deal or negotiate with Impact Products, Safety Zone, and their logistics intermediary, Laufer.

Despite outreach from Laufer disputing the Charges and requesting assistance, Respondent failed to engage in any meaningful dialogue or provide substantive responses. (See CPFF ¶¶ 21, 55–57.)

Respondent continued to impose Charges without offering extensions, waivers, or a clear process to dispute them. Critically, Respondent had no internal demurrage or detention policies in place during this time to guide how such Charges should be assessed, mitigated, or resolved. (See *Id.* ¶ 58.) Without any framework to evaluate customer hardship or to respond to mounting disruptions, Respondent was unprepared to make fair or consistent decisions. (*Id.*) It also failed to communicate any dispute resolution procedures to its customers, leaving shippers without any way to contest charges imposed under circumstances beyond their control. (*Id.*)

By ignoring these legitimate concerns, failing to adopt internal standards to govern its own practices, and refusing to provide dispute pathways, Respondent effectively shut down any opportunity for negotiation. This conduct violates 46 U.S.C. § 41104(a)(10), which prohibits common carriers from unreasonably refusing to deal or negotiate.

Respondent also ignored Laufer’s inquiries regarding adjustments to the charges or extensions of free time to account for the extraordinary circumstances. (Ex. 1, CX_000001–000006.) By failing to engage, Respondent demonstrated indifference to legitimate transportation-related factors and disregarded its obligation to give good-faith consideration to efforts at negotiation. The FMC found that refusals to engage with good-faith attempts to negotiate constitute unreasonable refusals to deal. See *Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 29 S.R.R. 1436, 2003 WL 723336, at *16 (FMC Feb. 24, 2003).

Further compounding this refusal, Respondent failed to produce key shipping records related to the disputed Charges, despite multiple discovery requests from Complainant. (See CPFF

¶¶ 50–59.) This failure is especially significant given that the former Presiding Officer explicitly ordered Respondent to produce these materials. Dock. No. 51. Respondent’s refusal to provide these critical records not only obstructed Complainant’s ability to resolve the disputes but also reinforces its broader unwillingness to participate in meaningful negotiation.

Respondent’s unwillingness to address valid transportation-related challenges, consider accommodations, or engage with good-faith negotiation efforts demonstrates a clear and unreasonable refusal to deal under 46 U.S.C. § 41104(a)(10).

iii. Respondent’s refusal was unreasonable.

Under the FMC’s established precedent, a refusal to deal is unreasonable if it lacks connection to legitimate business decisions or transportation-related factors. *See OJ Commerce*, 2023 WL 3969857 at *28–29. Respondent’s refusal to engage in meaningful discussions with Laufer and its drayage providers fails this standard for several reasons:

Lack of Consideration for Transportation-Related Factors: Respondent ignored clear and repeated evidence that systemic barriers—such as chassis shortages, port congestion, and rail yard stacking practices—prevented timely container retrieval. (CPFF, ¶¶ 40–49.) Respondent was fully aware of these issues. (*Id.* ¶¶ 48–49.) These systemic barriers were entirely beyond the control of Impact Products, Safety Zone, Laufer, and their drayage partners, and were directly relevant to the Charges Respondent imposed. (*Id.* ¶¶ 40–49.) Despite this knowledge, Respondent refused to address legitimate transportation-related concerns or offer any accommodations. (Ex. 1, CX_000001–000006.) Instead, it continued to impose mounting charges, demonstrating a blatant disregard for the principles of fairness and reasonableness required by the Shipping Act. (*Id.* ¶¶ 28–29.) Respondent’s inaction not only ignored systemic barriers but also exacerbated the financial and operational harm suffered by Impact Products and Safety Zone.

Failure to Provide Good-Faith Consideration: Respondent's failure to engage in substantive negotiations with Laufer reflects a lack of good-faith consideration. For example, despite knowing the systemic challenges affecting container retrieval, Respondent did not offer to waive or reduce the majority of the Charges or extend free time. (*Id.* ¶¶ 28–29.) Instead, it maintained its unreasonable demands for payment. (*Id.*) By creating unnecessary barriers to resolving disputes, Respondent demonstrated an indifference to its obligations under the Shipping Act.

Economic Harm to Complainant: Respondent's unreasonable practices directly caused financial harm to Impact Products and Safety Zone. (*Id.* ¶¶ 28–29.) These practices forced the former complainants, Impact Products and Safety Zone, to pay \$637,195.21 in demurrage, detention, per diem, and yard storage charges. (*Id.*) This financial burden, coupled with operational disruptions caused by systemic delays, severely strained Impact Products and Safety Zone, contributing to their eventual bankruptcy.

Failure to Align with FMC Guidance: The FMC has emphasized that carriers must provide actual consideration to efforts at negotiation and avoid shutting out parties for non-transportation-related reasons. Respondent's refusal to engage meaningfully and its continued imposition of unreasonable charges fall squarely within conduct deemed unreasonable by the FMC. *See OJ Commerce*, 2023 WL 3969857, at 28–29.

Respondent's refusal to deal or negotiate during the Relevant Period was both unreasonable and inconsistent with the requirements of 46 U.S.C. § 41104(a)(10). By ignoring legitimate transportation-related factors, failing to provide good-faith consideration, and imposing undue financial burdens on Complainant, Respondent violated the fundamental principles of fairness and reasonableness underpinning the Shipping Act. Complainant respectfully requests that the FMC

find Respondent in violation of 46 U.S.C. § 41104(a)(10) and award appropriate reparations and relief.

V. Complainant's Case Is Distinguishable from *Visual Comfort* and *Yang Ming*, and Warrants a Different Outcome

The ALJ's Initial Decisions in *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, FMC Docket No. 24-01, Doc. 103 (April 28, 2025) and *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 24-10, Doc. 35 (March 24, 2025), are distinguishable from this case and should not control the outcome here. Those decision were based on a perceived lack of invoice-specific evidence connecting each charge to an unreasonable practice. *Visual Comfort & Co.*, FMC Docket No. 24-01, Doc. 103, pp. 26–28; *TZ SSE Buyer, LLC*, FMC Docket No. 24-09, Doc. 35, pp. 22–26. But in taking such a narrow, invoice-by-invoice approach, the ALJ overlooked the broader context in which these charges were imposed—a context that was not just industry-wide but acutely shaped by the ocean carrier's own failure to prepare for or fairly respond to unprecedented disruption. That kind of hyper-specificity is not required when the practice itself—the method of assessing, communicating, and resolving charges—is what was unreasonable under § 41102(c).

Unlike in *Visual Comfort* and *Yang Ming*, Complainant here has presented extensive evidence of systemic failure on the part of Respondent: it had no written demurrage or detention policies during the Relevant Period; there was no established process to review waiver requests, respond to congestion-related disputes, or even inform shippers how to contest charges; invoices often lacked contact information or dispute instructions; and Respondent later changed its policies to correct these exact deficiencies, implicitly admitting they existed. Without a functioning dispute system in place, and with Respondent refusing to produce many of the actual invoices at issue,

even after a discovery order, Complainant was structurally prevented from linking “specific” charges to “specific” failures in the way the ALJ demanded in *Visual Comfort* and *Yang Ming*.

It also bears emphasizing that Respondent issued these charges, not Complainant. Respondent controlled the systems, the invoices, and the records—but failed to preserve or produce them. Under these conditions, where the carrier obscures the process and then claims there is not enough evidence to challenge it, it is neither reasonable nor just to deny relief for lack of pinpoint proof. The failure to maintain invoice records, coupled with a refusal to implement or share consistent waiver criteria, left Complainant with no way to dispute charges tied to congestion and chassis shortages that Respondent knew were industry-wide and beyond the shipper’s control.

The burden cannot fall on shippers to reconstruct, invoice by invoice, what the carrier intentionally failed to track or disclose. And most importantly, the standard under § 41102(c) concerns “regulations” and “practices”—not isolated charges. When the practice itself is unreasonable, as it was here, that is what should be sufficient to support a finding of violation.

VI. Conclusion

Respondent COSCO Shipping Lines Co., LTD practices during the Relevant Period reflect a blatant disregard for its obligations under the Shipping Act. By imposing demurrage, detention, per diem, and yard storage charges under circumstances where compliance was impossible, Respondent failed to align its practices with the fairness and reasonableness standards set forth by the FMC. Its refusal to negotiate or provide accommodations in light of systemic barriers further underscores its unreasonable behavior, causing \$637,195.21 in financial harm and significant operational disruption to Complainant and its predecessors.

The evidence presented in this proceeding demonstrates that Respondent’s practices were not tailored to incentivize cargo movement, lacked transparency, and failed to consider the extraordinary challenges faced by shippers during the COVID-19 pandemic. These practices were

a direct and proximate cause of the financial and operational harm suffered by Complainant, exacerbating the systemic challenges of the time.

For these reasons, Complainant respectfully requests that the FMC find Respondent in violation of 46 U.S.C. §§ 41102(c) and 41104(a)(10). Complainant further seeks reparations for Respondent's unlawful conduct in the amount of \$637,195.21 pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(a). Complainant also seeks an award of reasonable attorneys' fees as "the prevailing party" under 46 U.S.C. § 41305(e) and any additional relief that the Federal Maritime Commission deems just and proper.

This case underscores the critical importance of strict adherence to the principles of fairness and reasonableness enshrined in the Shipping Act, not only to hold ocean carriers accountable for exploitative practices but also to safeguard the integrity of the supply chain and protect shippers, intermediaries and truckers from unjust financial and operational burdens, particularly during times of global crisis.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on July 30 , 2025, a true and correct copy of the foregoing **Complainant's Opening Brief** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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